

VOLUNTARY COST SAVINGS PROGRAM PROCEDURE

Effective Date: XX/XX/20XX

1.1 Purpose

The purpose of this procedure is to set forth guidelines for employees desiring to assist [AGENCY] and the State in reducing personnel costs by allowing employees to reduce their bi-weekly schedule by taking leave without pay without reducing certain benefits or requiring employees to exhaust paid leave.

1.2 Scope

This Procedure is applicable to all full-time or part-time exempt [AGENCY] employees who have successfully completed their initial or promotional probationary period, and to all full-time or part-time bargaining unit employees who have completed their initial probationary period.

1.3 References

- a. O.R.C. 124.392
- b. Ohio Admin. Code 123:1-34-10
- c. OCSEA Agreement, Appendix R, 1199/SEIU, Article 40; OEA, Appendix K; Unit 2, Appendix C; and/or OSTA, Article 64

1.4 Guidelines

- a. Participation in the program is strictly voluntary.
- b. Beginning with the pay period effective XX/XX/20XX, employees shall have the option of participating in one of the following plans:
 - i. **Option #1: Reduction of Hours.** Full-time employees shall have the opportunity to reduce their bi-weekly schedule by no less than eight (8) hours and no more than forty (40) hours. [AGENCY] will continue to pay its share of health insurance premiums during utilization of this plan, but employees choosing Option 1 shall be responsible for their share of health insurance premiums for all insurance programs in which they are enrolled at the time of the leave. Leave used under this option shall be considered leave without pay and as inactive pay status. Employees participating in this option shall maintain their full-time status for the purposes of leave accruals and health insurance premiums. In addition, employees shall not incur a break in State service or

seniority. Seniority and State service credit will be based on eighty (80) hours per pay period. The maximum number of hours available to be reduced by an employee is five hundred twenty (520) in a fiscal year or a total of six (6) months, whichever comes first.

- ii. **Option #2: Unpaid Leave of Absence.** Full-time and part-time employees shall have the opportunity to take unpaid leaves of absence in blocks of time no less than two (2) weeks and up to a maximum of thirteen (13) weeks within a fiscal year. [AGENCY] will continue to pay its share of health insurance premiums during utilization of this plan, but employees choosing Option 2 shall be responsible for their share of health insurance premiums for all insurance programs in which they are enrolled at the time of the leave. Leave used under this option will be considered leave without pay and as inactive pay status. Employees will not incur a break in State service or seniority as long as the employee returns to employment on or before the date indicated in the VCS Agreement.
- iii. **Option #3: Credit with 40 or 80 Voluntary Cost Savings Hours per Fiscal Year.** Full-time and part-time employees who select this option shall be credited with either forty (40) or eighty (80) voluntary cost savings hours during the course of the fiscal year. Employees participating in this option will have each bi-weekly paycheck reduced over the course of the fiscal year in an amount that equates to either forty (40) or eighty (80) hours in total. An employee is entitled to use all available voluntary cost savings hours during the fiscal year, at times mutually agreed to between the employee and the [AGENCY]. If an employee has been prevented from using all of their voluntary cost savings hours, transfers, or separates during the fiscal year, then a reconciliation will be conducted by the [AGENCY] pursuant to the applicable collective bargaining agreement or Ohio Administrative Code § 123:1-34-10(F). Employees participating in this option shall maintain their appointment type, as full-time or part-time, for the purposes of leave accruals and health care premiums. Further, employees shall not incur a break in State service and seniority. Seniority and State service credit will be based on the employee's normal work schedule, either full or part time.

- iv. Employees may, if desired and approved by the [AGENCY] Human Resources Administrator, utilize all three options within the same fiscal year.

1.5 Prohibitions

Employees participating in the program shall not be eligible for unemployment benefits.

1.6 Procedures

- a. An employee desiring to participate in the program must complete and sign a Voluntary Cost Savings Agreement at least thirty (30) days prior to the commencement of the leave, unless this notice requirement is waived by the Human Resources Administrator. {NOTE: This is a sample of potential policy language. The appointing authority may instead choose to permit authorization with fewer than 30 days advanced notice in the policy or on a case-by-case basis.}
- b. Since Option #3 requires payment be deducted from participants' bi-weekly paychecks over the course of an entire fiscal year, employees choosing Option #3 must request usage of voluntary cost savings hours on or before June 1 for the following fiscal year, unless this notice requirement is waived by the Human Resources Administrator. {NOTE: The applicable collective bargaining agreements do not specify timeframes for the request or the approval. However, because Option #3 requires payment be deducted from participants' bi-weekly paychecks over the course of an entire fiscal year in an amount proportionate to the number of hours of voluntary cost savings hours chosen to be received, employees choosing Option #3 must request usage of voluntary cost savings hours on or before June 1 for the following fiscal year. The appointing authority may authorize a minimum of fewer than 30 days advanced notice as long as the deadline is prior to the fiscal year.} The Human Resources Administrator will review the request and confer with the employee's direct supervisor to ensure that any impact on operations is minimal and additional costs do not result.
- c. If an employee's request to participate in the program is approved, the Human Resources Administrator will notify the employee at least seven (7) days before the effective day of the implementation of the reduced schedule.
- d. Employees choosing Option #2 shall have the responsibility of making payment arrangements for health insurance premiums with [AGENCY's] payroll officer prior to the leave commencing.
- e. The Human Resources Administrator, in consultation with the [AGENCY] Director, has the sole discretion to approve or deny an employee's Voluntary Cost Savings leave request. Denial of a

Voluntary Cost Savings leave request shall not be subject to appeal or be grievable.

- f. The Human Resources Administrator, in consultation with the [AGENCY] Director, may terminate an employee's Voluntary Cost Savings Agreement by providing ten (10) working days' notice in writing to the employee. Such termination shall not be subject to appeal or grievable.
- g. The employee may terminate his/her Voluntary Cost Savings Agreement upon ten (10) working days' notice in writing unless mutually agreed to otherwise.
- h. The parties will, on an ongoing basis, continue to monitor the application of this program through [AGENCY'S] Labor/Management Committee.

1.7 Contact

The Human Resources Administrator is available for questions or consultation regarding this Voluntary Cost Savings Program Procedure.